



DEFINITIONS

CUSTOM SECURITY BOND

It is a contract executed under seal whereby the party or parties entering into it bind themselves to pay to some other person or body a specified sum of money, referred to as the penalty to the bond, if any of the conditions of the bond are not satisfied. The obligation in all security bonds is joint and several.

PRINCIPAL

The person who undertakes to fulfil the conditions of the bond and pay the penalty of the bond if any of the conditions of the bond are not satisfied. They are normally the importers or their agents.

SURETY/GUARANTORS

The person who undertakes to pay the bond if the principal fails to fulfil the conditions of the bond. These are normally the insurance companies or banking institutions.

CLASSIFICATION OF SECURITY BONDS

There are two types of security bonds, general security bonds and particular security bonds.

GENERAL SECURITY BOND

This is a bond executed in accordance with EACCMA (2004). It is valid for a period of three years and can be replenished. It is executed either as a Regional Customs Transit Guarantee (RCTG) for COMESA or for a General Customs Security Bond (GCSB) for sensitive goods and non-COMESA countries.

PARTICULAR SECURITY BOND

It is a single transaction bond and is valid for 12 months.

SECURITY BOND GUARANTEES

Security may be given to the satisfaction of the Commissioner either;-



- a) Cash guarantee (by cash)
- b) Bank guarantee (by bank)
- c) Insurance guarantee (by Insurance)
- d) Any other form of security that the Commissioner may allow (e.g. token bond)

BANK GUARANTEE

This is a requirement for payment under dispute where the principal decides to execute a bond (of the amount in dispute) instead of paying in cash. Its validity depends on the use.

PROCEDURE FOR BONDS EXECUTION

SIMBA	iCMS
APPLY FOR A BOND The Principal will apply for a bond in Kentrade. The Principal shall fill the relevant form depending on the type of bond he/she wants to execute, and comply with insurance or bank requirements.	APPLY FOR A BOND The Principal will apply for a bond in iCMS. In the case of Bank Guarantee, the Clearing agent makes the application for the bond on behalf of the principal.
KENTRADE CONFIRMATION The agent shall lodge the bond with Bonds Management Unit for Kentrade Confirmation	REVIEW BOND APPLICATION Bond registration officer reviews the bond application after which the bond details are submitted via Bonds Module in ICMS to the KENSWITCH system. A copy of the Bond form with details of the bond application is sent via email to the Guarantor.
WITNESING BOND FOR APPROVAL The bonds shall then be referred to either officer, supervisor, assistant manager, manager or chief manager according to set limits for witnessing.	REVIEW AND PROCESS GUARANTOR CONFIRMATION The Guarantor via the KENSWITCH system will approve or reject this application. The iCMS will receive feedback via KENSWITCH and proceed with internal recommendation and approval processes where there is approval from the guarantor.
APPROVE A BOND	RECOMMEND BOND FOR

ISO 9001:2015 CERTIFIED

The bonds shall then be referred to either officer, supervisor, assistant manager, manager or chief manager according to set limits for approval.	APPROVAL Bond recommendation levels varies with the Bond Value and is in the systems parameters as per KRA requirements.
REGISTERING AND NUMBERING After witnessing and approval the bonds are then numbered and entered in the register.	APPROVE A BOND Bond approval levels also varies with the bond value and is in the systems parameters as per KRA requirements.
EXECUTE A BOND After review of all documents supporting the approved application and having obtained signed Bond agreement from both Principal/Guarantor, the Bond is ready for execution and for use in Simba system.	EXECUTE A BOND After review of all documents supporting the approved application and having obtained signed Bond agreement from both Principal/Guarantor, the Bond is ready for execution and for use in iCMS.

DOCUMENTARY REQUIREMENTS/ATTACHMENTS (EXECUTION)

BOND CATEGORY	BOND CLASS	DESCRIPTION	REQUIREMENTS
PART	CB1	Security bond for perishable items or provisional release where perfection is done within 48 hrs	-copy of invoice -authority letter -Valid for 48 hrs -specimen form
PART	CBIA	Security bond for provisional release of project goods where perfection be done within 90 days. The principal must obtain exemption letters from treasury within that period.	-copy of letter of -copy of invoice -valid for 90 day -specimen sign guarantor



			-master list
GEN	CB2	Security bond for movement of goods from one port to another The period is one month	-Authority letter -old CB2 bond -specimen sign guarantor
GEN	CB3	Security bond for warehousing of goods the transaction period is 14 days except for bulk cargo which is 21 days	-specimen sign guarantor
GEN	CB4	Bond for re- export from warehouse/after drawback. The transaction period is 30 days	-transaction peri -specimen sign guarantor
GEN	CB5	Security bond for ship store. The period is one month	-copy of invoice -valid for 1 year -specimen sign guarantor
GEN	CB6	Security bond for custody of goods in a licensed bonded warehouse Transaction period is one year	-general bond va -old CB6 bond -supplementary -previous license -specimen form
GEN	CB8	Security bond for transit goods. Transit period is 30 days. Application for bond cancellation - within 30 days of exit of goods Can be extended in special circumstances	-specimen sign guarantor -approval letter i
GEN	CB8A	Regional Customs Transit Guarantee bond (RCTG) This is a COMESA regional customs transit bond Transaction period is 30 days	-specimen sign guarantor
GEN	CB9	Security bond for transshipment of goods The transaction period is 21 days	-Authority letter -specimen form



ISO 9001:2015 CERTIFIED

PART	CB10	Security bond for temporary importation	-authority letter -valid for 1 year -specimen sign guarantor
PART	CB11	Security bond for licensed custom agents. Transaction period is one year-the bond is tied to license	-cover letter from -specimen sign guarantor
GEN	CB12	Security bond for conveyance of goods It covers licensed vessels	-transit license -general bond -specimen sign guarantor -letter from licen
PART	CB13	Security bond for raw material for manufacture of goods for export and home use Transaction period is 12 months and renewable in special circumstance for other 6 months.	-copy of approval -specimen sign guarantor
GEN	CB14(CPZ B)	Security bond for warehousing and removal of goods from EPZ and MUB. Warehousing period is 14 days for EPZA goods.	-Cover letter from -specimen sign guarantor
PART	CB16	Security bond for project goods. Transaction period is subject to completion of the project. It perfects CB1A.	-exemption letter -specimen sign guarantor
GEN	CB18	Security bond for goods in port or licensed transit sheds	-authority letter -old CB18 bond -general bond -specimen sign guarantor



ISO 9001:2015 CERTIFIED

PART	SECURITY TO CUSTOMS -STC	Security bond for goods moving out of a warehouse but will be returned after further works or exhibition. Bond mainly covers assembled vehicles for body building, conversions and exhibition Transaction period is 30-120 days Mainly covered under section 53 of EACCMA	-Letter of author -particular bond -specimen sign guarantor
------	---------------------------------------	--	--

PROCESS FOR CANCELLATION/RETIREMENT OF SIMBA BONDS	PROCESS FOR CANCELLATION/RETIREMENT OF iCMS BONDS
a) The principal/clearing agent lodges the physical bond cancellation voucher (Form C26) attaching all the necessary supporting documents at Bonds Section, Times Tower (as per the table below – Documentary attachments). b) The C26 form is received, numbered, entered in the receiving register/allocation form and date stamped by the receiving clerk/officer. c) The documents are then vetted by Bonds Cancellation Officer for compliance; If not compliant with the bonds cancellation requirements, the officer rejects the documents stating the reason for rejection on the documents. The documents are returned to the receiving	a) Log in as an “Authorised system user” b) On the left Navigation panel, Go To> “Bonds Management” > “Search Bond” c) Enter the “Bond ID” the click on “Search” ; d) Next highlight the record then click on “Replenish Bond”  e) Next highlight the declaration f) and click on “Request Replenishment”  g) Next enter remarks in the resultant screen and click on “OK” h) The system will generate a To Do task for the approving officer i) The bonds cancellation officer will review the record details and “Approve Replenishment” or “Reject Replenishment” giving the reason for rejection.



officer/clerk who enters the details in the rejection register and issues them back to the principals/agents.

- If compliant with the bonds cancellation requirements, the officer cancels the bond transaction online in the Simba system.

d) For cancelled particular and retired general bonds, the documents proceeds through the process of typing of discharge letter to be issued to the principal/clearing agent who submits them to the guarantor for discharge of their liability.



DOCUMENTARY REQUIREMENTS/ATTACHMENTS

CANCELLATION OF SIMBA SYSTEM ENTRIES	CANCELLATION OF iCMS SYSTEM ENTRIES
Prior release - C402 Entry - Provisional entry – C402 - Perfecting entry – C400 or C490 - Copy of exempting document (Pro 1B, Treasury exempting letter, etc.)	Security bond for perishable goods - IM4 40402 Entry - Perfecting entry, CPC IM4 474 - timelines: 48 Hours (Section 36 (e) – but not for perishable goods). 90 Days for provisional release - Copy of exempting document (etc.) must be attached on application - All packages must have been scanned - Once replenishment is done, then retire online and then print for issuance of discharge letter
Prior release - C401 Entry - Provisional entry – C401 - Perfecting entry – C490 or C493 - Treasury exempting letter - Original triplicate CB1A bond - Copy of CB16	Security bond for provisional release - IM4 40401 Entry - Perfecting entry, CPC IM4 474 - Copy of exempting document (etc.) must be attached on application - All packages must have been scanned - Once replenishment is done, then retire online and then print for issuance of discharge letter
Project Goods - C493 Entry - Perfecting entry – C493 - Provisional entry - C401 - Original triplicate CB16 bond - Copy CB1A - Treasury exemption letter - Completion letter from parent ministry	Security bond for project goods - IM4 40403 Entry - Project completion letter from parent ministry - Export or payment of duties for project goods
Transit Goods - T810 Entry - Transit T810 entry - Striking entry T811 or T812 entry	Security bond for transit goods - IM4 80800/801/810/820/830 Issuance of COE on TR8 80801



	All packages must have been a for those not exported)
Temporary Importation - C500/C510 Entry - Temporary importation C500 or C510 entry - Striking R3 entry - Original triplicate CB10 Bond - Temporary importation authorization letter	Security bond for tempor 50500/50510 - Issuance of COE on EX3 3736 - Authority letter for temporar application - All packages on IM5 50500/ (exported or duty paid for tho
Duty Remission Scheme (DRS) – C422/ C491/ C492/ C494/ C496 Entry - DRS C422/ C491/ C492/ C494/ C496 Entry - Original triplicate CB13 bond - DRS reconciliation/audit letter	Security bond for raw material export-Entry IM4 45492/45491/ DRS Audit Letter confirming been accounted for
Warehousing or EPZ – W7 or R3 Entries Warehousing/EPZ - W7 or R3 entry	Security bond for the wareh warehoused goods - IM7 Entr - Issuance of F7 which must be - All packages must have been r
	Bond for re- export from w EX3 30300 - Issuance of COE - All packages must have been a for those not exported)
	Security bond for ship store-Ent - Issuance of COE - All packages must have been a for those not exported)
Transshipment – M9 Entry Transshipment M9 entry	Security bond for transshipment - Issuance of COE on IM9 - All packages must have been a for those not exported)



RETIREMENT OF SIMBA SYSTEM BONDS	RETIREMENT OF iCMS SYSTEM BONDS
Bond for Removal Coastwise – CB2 Bond for Licensed Bonded Warehouse - CB6 Bond for Licensed Clearing Agent - CB11 Bond for Licensed Vessels - CB12 Bond for Licensed Transit sheds - CB18 • Original Triplicate Bond (being retired) • Copy of its replacement bond	Bond for Removal Coastwise – CB2 Bond for Licensed Bonded Warehouse - CB6 Bond for Licensed Clearing Agent - CB11 Bond for Licensed Vessels - CB12 Bond for Licensed Transit sheds - CB18 • Original Triplicate Bond (being retired) • Copy of its replacement bond
Bond for Perishable items – CB1 Bond for Warehousing Import and Removal – CB3 Bond for Re-export from Warehouse – CB4 Bond for Ship stores – CB5 Bond for Transit Goods – CB8 COMESA RCTG Bond – CB8A Bond for Transshipment goods – CB9 Bond for Temporary Importation – CB10 Bond for Warehousing and Removal from EPZ – CPZB • Original Triplicate Bond (being retired) • All bond transactions are cancelled	Bond for Perishable items – CB1 Bond for Warehousing Import and Removal – CB3 Bond for Re-export from Warehouse – CB4 Bond for Ship stores – CB5 Bond for Transit Goods – CB8 COMESA RCTG Bond – CB8A Bond for Transshipment goods – CB9 Bond for Temporary Importation – CB10 Bond for Warehousing and Removal from EPZ – CPZB • Original Triplicate Bond (being retired) • All bond transactions are cancelled



KENYA REVENUE
AUTHORITY

ISO 9001:2015 CERTIFIED

PUBLIC



Tulipe Ushuru, Tujitegemee!

